Innova Captab

10 December 2025

Strategically Placed to post Robust Growth

We interacted with Innova Captab's (INNOVACA IN, NOT RATED) management to understand the company's growth roadmap and evolving market positioning. INNOVACA, a leading formulations CDMO player, has strong relationships with top Indian pharma companies and growing exposure in branded generics across the domestic and international markets. The company is now scaling its newly commissioned facility in Jammu. Management is looking to sustain double-digit growth through deeper client penetration, capacity expansion and enhanced export mix, while maintaining stable 14–16% EBITDA margin. At Rs 752, the stock trades at ~35x TTM EPS. We do not have a rating on the stock.

MANAGEMENT MEET UPDATE

Sector: Pharmaceuticals	**Rating: NR**
CMP: Rs 752	**Target Price: NA**

Stock Info

Sensex/ Nifty	84,666/25,843
Bloomberg	INNOVACA IN
Equity shares (mn)	57.2mn
52-wk High/Low	Rs 1,259/655
Face value	Rs 10
M-Cap	Rs 40.5bn/USD0.51bn

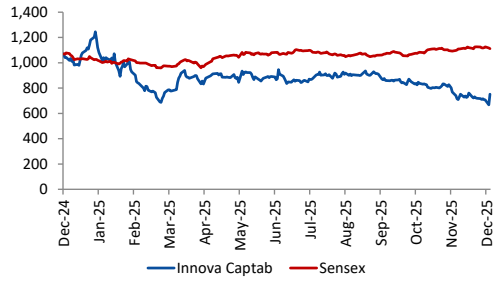
Financial Snapshot (Rs mn)

Y/E Mar	FY23	FY24	FY25
Sales	9,264	10,813	12,437
Gross profit	2,348	3,530	4,296
Gross Margin (%)	25.3%	32.6%	34.5%
EBITDA	1,136	1,545	1,862
Margin (%)	12.3%	14.3%	15.0%
PAT	680	943	1,283
EPS	14.2	18.7	22.4
RoE (%)	24.6	11.4	13.4
RoCE (%)	21.8	13.4	13.3

Shareholding pattern (%)

	Mar'25	Jun'25	Sep'25
Promoter	50.90	50.90	50.90
FII	0.35	0.23	0.08
DII	19.77	19.67	20.17
Others	29.00	29.20	28.86

Stock Performance (1-year)



Vishal Manchanda
vishalmanchanda@systematixgroup.in
+91 9737437148

Rushank Mody, CFA
rushankmod@systematixgroup.in
+91 22 6704 8046

Virti Shah
virtishah@systematixgroup.in
+91 22 6704 8099

Key highlights:

1) Healthy CDMO growth despite API price volatility

Management highlighted that the CDMO business remains structurally strong, with broad-based client engagements across more than 300 Indian and international partnerships. Despite continued pressure from declining API prices (up to 20% in certain molecules), the CDMO vertical recorded solid growth driven by volume traction, stronger wallet-share gains and deeper engagements with top Indian pharma clients. The business now contributes 70–71% of overall revenue (post segment reorganization, supported by an expanding product portfolio and consistently reliable supply from its manufacturing facilities at Baddi, Dehradun and Jammu.

2) Commercial ramp-up of Jammu facility lags expectations; GST restructuring weighs on near-term economics

The Jammu plant, commercialized in January 2025, has seen several completed customer audits with positive feedback. Yet, the revenue scale-up has been slower than expected. Management has tempered its FY26 revenue guidance from Rs 4bn to Rs 2.7–2.8bn. The shortfall was caused by sinking API prices, resulting in lower invoice realizations and slightly longer conversion cycles for new customer contracts. Additionally, the reduction in formulation GST from 12% to 5% significantly impacted incentive utilization timelines. The plant must now reach roughly Rs 14bn in annual sales (vs ~Rs 6.5bn earlier) to fully utilize the yearly GST incentive cap.

3) Robust medium-term outlook for Jammu on strong audits and diversified block capabilities

Despite the slower near-term ramp, management is confident of achieving Rs 14bn+ peak revenue at optimal utilization (65–70%) over the next 4–5 years. The facility houses four manufacturing blocks—cephalosporin, penicillin, penem and general formulations (large & small volume parenteral and respiratory respules) — potentially placing it in a strategically decent position to capture the incremental demand from stricter Schedule-M norms over the long term. Several customers have validated stability batches, ratified process and documentation requirements. Management expects to meaningfully scale-up from FY27, once additional contracts and new dosage forms (including respules and injectables) gain traction.

Investors are advised to refer disclosures made at the end of the research report.

4) **Strong scale-up in branded generics across Indian and few international markets**

The branded generics vertical remains strong having posted growth of 59% YoY during 1QFY26 and 31% during 2QFY26. This momentum stems from an expanded product basket, deeper market penetration and stronger support in chronic therapy prescriptions. The business now includes domestic branded operations along with international branded markets that follow a front-end model. The company's field force of roughly 300 representatives (catering to distributors and stockists across India) drive strong coverage and product rotations across key states. Export markets now contribute about 30% of overall revenue, supporting diversification and mix improvement.

5) **Sharon Bio fully integrated; positioned for regulated market-led scale-up with ongoing capex in debottlenecking**

Sharon Bio full integration under the CDMO vertical reflects its operating structure and client engagement model. The company's UK-MHRA-approved facility operates at ~50% utilization. Sharon contributes through formulations, API and toxicology (CRO) offerings, and should scale meaningfully once regulated-market filings and CDMO project transfers accelerate.

6) **Strong order visibility**

Management noted the possibility of consolidation in the industry over the long term, due to tightened Schedule M norms. The number of active players in the Baddi belt has reduced significantly in the last decade and half, with only 20–25 meaningful manufacturers now surviving. INNOVACA, with its strong compliance, scale and multi-block capabilities, continues to gain customer share. It currently caters to some large domestic pharma players and benefits from high switching costs. Visible volume traction in the past nine months (3–4% growth) should sustain the demand momentum.

7) **Profitability stable despite API headwinds; EBITDA margin forecast at 15–16%**

The company reported 14.8% and 13.6% EBITDA margin during 1Q and 2QFY26, respectively, supported by improved mix, strong growth in branded generics and operational discipline. While declining API prices impacted CDMO business realizations, product mix optimization and process efficiencies supported gross margin. Management expects the Jammu facility to become margin accretive from the second year of scale-up. It forecasts medium-term normalized EBITDA margin to hover at 14–16%, anticipating further upside once regulated-market exports and incentives flow through.

8) **Disciplined working capital cycle; debt profile comfortable and restricted to Jammu project financing**

The company continues to maintain working capital cycle of roughly 90 days, consistent with historical levels. Receivable quality remains strong with minimal credit losses. Gross non-current debt of about Rs 2,300 mn is entirely linked to the Jammu project, while net debt is lower due to cash balances of about Rs 600 mn. Importantly, the company benefits from a 6% interest subvention on the Jammu term loan, bringing effective interest costs closer to 2.5%. Management reiterated its intent to avoid incremental leverage outside the committed Jammu capex.

FINANCIALS

Profit & Loss Statement

YE: Mar (Rs mn)	FY21	FY22	FY23	FY24	FY25
INCOME :					
Net Sales	4,107	8,005	9,264	10,813	12,437
YoY Growth %	10.0%	94.9%	15.7%	16.7%	15.0%
Cost of goods sold	3,107	6,179	6,916	7,283	8,141
Gross Profit	1,000	1,826	2,348	3,530	4,296
Gross Margin %	24.3%	22.8%	25.3%	32.6%	34.5%
Employee cost	223	405	548	907	1,168
Other expenses	231	461	664	1,078	1,266
EBITDA	545	960	1,136	1,545	1,862
EBITDA %	13.3%	12.0%	12.3%	14.3%	15.0%
Depreciation	56	75	111	160	248
EBIT	489	885	1,026	1,385	1,614
EBIT %	11.9%	11.1%	11.1%	12.8%	13.0%
Other Income	14	29	92	125	120
Interest	39	57	200	215	24
PBT	463	857	918	1,295	1,710
PBT %	11.3%	10.7%	9.9%	12.0%	13.8%
Provision for Tax	118	218	238	352	428
Profit After Tax	345	640	680	943	1,283
PAT %	8.4%	8.0%	7.3%	8.7%	10.3%
EPS	7.2	13.3	14.2	18.7	22.4

Source: Company, Systematix Research

Balance Sheet

YE: Mar (Rs mn)	FY21	FY22	FY23	FY24	FY25
Share Capital	120	120	480	572	572
Total Reserves	1,328	1,966	2,285	7,737	9,022
Shareholder's Funds	**1,448**	**2,086**	**2,765**	**8,309**	**9,594**
Long-Term Borrowings	60	674	1,342	2,082	2,435
Deferred Tax Assets / Liabilities	19	18	38	(151)	10
Other Long Term Liabilities	5	7	94	23	13
Long Term Provisions	361	182	468	91	99
Total Non-Current Liabilities	**445**	**881**	**1,942**	**2,045**	**2,557**
Trade Payables	1,122	1,448	1,585	1,797	2,018
Other Current Liabilities	690	283	205	580	773
Short Term Borrowings	334	1,201	979	238	656
Short Term Provisions	5	223	6	325	317
Total Current Liabilities	**2,152**	**3,155**	**2,776**	**2,940**	**3,764**
Total Liabilities	**4,045**	**6,122**	**7,482**	**13,294**	**15,916**
Net Block	791	1,830	1,829	3,579	8,299
Capital Work in Progress	73	0	215	3,408	225
Long Term Loans & Advances	476	288	1,011	220	68
Other Non Current Assets	-	3	3	5	59
Total Non-Current Assets	**1,340**	**2,122**	**3,058**	**7,212**	**8,651**
Inventories	914	1,284	1,173	1,440	2,080
Sundry Debtors	1,386	2,127	2,652	2,885	3,316
Cash and Bank	119	24	189	867	682
Other current assets	286	565	411	890	1,113
Total Current Assets	**2,705**	**4,000**	**4,425**	**6,082**	**7,191**
Assets as Held for Sale and Discontinued Operations					74
Total Assets	**4,045**	**6,122**	**7,482**	**13,294**	**15,916**

Source: Company, Systematix Research

Cash Flow

YE: Mar (Rs mn)	FY21	FY22	FY23	FY24	FY25
Profit Before Tax	**463**	**857**	**918**	**1,295**	**1,710**
Depreciation	56	75	111	160	248
Interest Expeses	39	57	200	215	22
Others	1	21	(51)	(3)	43
Working Capital	**(11)**	**(213)**	**(311)**	**73**	**(1,147)**
Tax Paid	(132)	(208)	(195)	(277)	(237)
Cash From Operating Activities	**416**	**589**	**671**	**1,463**	**638**
Net Capex	(184)	(798)	(783)	(2,872)	(1,722)
Others	(12)	(1,083)	(126)	(2,117)	207
Cash from Investing Activities	**(197)**	**(1,881)**	**(908)**	**(4,990)**	**(1,516)**
Debt changes	(56)	695	145	1,527	523
Others	(137)	551	126	2,081	392
Cash from Financing Activities	**(193)**	**1,246**	**271**	**3,608**	**915**
Net Cash Inflow / Outflow	**26**	**(46)**	**34**	**82**	**38**
Opening Cash & Cash Equivalents	22	48	2	35	117
Effect of Foreign Exchange Fluctuations	-	-	-	-	-
Closing Cash & Cash Equivalent	**48**	**2**	**35**	**117**	**155**

Source: Company, Systematix Research

Ratios

YE: Mar	FY21	FY22	FY23	FY24	FY25
Per Share(Rs)					
EPS	7.2	13.3	14.2	18.7	22.4
CEPS	7.0	12.5	13.8	19.3	26.8
BVPS	25.3	36.5	48.3	145.3	167.7
Return Ratio(%)					
RoCE	25.8	29.8	21.8	13.4	13.3
RoE	23.8	30.7	24.6	11.4	13.4
Balance Sheet					
Net Debt : Equity (x)	0.2	0.9	0.8	0.2	0.3
Net Working Capital (Days)	39	37	58	77	81
Valuation(x)					
PER	105	56	53	40	34
EV/EBITDA				17.7	28.5
EV/Sales				2.5	4.3

Source: Company, Systematix Research

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Systematix Shares and Stocks (India) Limited:
Registered and Corporate address: The Capital, A-wing, No. 603 – 606, 6th Floor, Plot No. C-70, G Block, Bandra Kurla Complex, Bandra (East), Mumbai – 400 051
Tel no. 022-66198000/40358000 Fax no. 022-66198029/40358029 Email id contactus@systematixgroup.in. Visit us at: www.systematixgroup.in
Details of Compliance officer: Ms Nipa Savla, Compliance officer Tel no. 022-66198092/4035808092 Email id compliance@systematixgroup.in
Details of Email id grievance redressal cell : grievance@systematixgroup.in
Details of Registration : CIN - U65993MH1995PLC268414 | BSE SEBI Reg. No.: INZ000171134 (Member Code: 182) | NSE SEBI Reg. No.: INZ000171134 (Member Code: 11327) | MCX SEBI Reg. No.: INZ000171134 (Member Code: 56625) | NCDEX SEBI Reg. No.: INZ000171134 (Member Code: 1281) | Depository Participant SEBI Reg. No.: IN-DP-480-2020 (DP Id: 12034600) | PMS SEBI Reg. No.: INP000002692 | Research Analyst SEBI Reg. No.: INH200000840 | AMFI : ARN - 64917